

Business Ethics Over Time

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WHAT'S COVERED

In this lesson, you will learn how business ethics has changed over time in response to social change and laws. Specifically, this lesson will cover:

1. Major Historical Eras

Just as ethics differ between groups, they can change over time. Although some values may strike you as universal, the ways in which they are interpreted and applied vary over time, so that what was once acceptable no longer is, or the reverse. All cultures have ethics and moral codes, but they are not the same, and not all members agree with them or adhere to them. Ethics involve actions and decisions within the context of their time, which may be quite different from what you observe today. Consider the major historical eras of the last 500 years and how they viewed business ethics.

1a. The Age of Mercantilism

Under mercantilism, from the sixteenth to the eighteenth centuries, the exploration of newly opened markets and trade routes coincided with the impulse to colonize, producing an ethical code that valued acculturation by means of trade and often, brute force. European powers extracted raw commodities like cotton, silk, diamonds, tea, and tobacco from their colonies in Africa, Asia, and South America and brought them home for production. This practice also included forced labor by enslaved people.

Unlike **capitalism**, which views wealth creation as the key to economic growth and prosperity, **mercantilism** relies on the theory that global wealth is static and, therefore, prosperity depends on extracting wealth or accumulating it from others. Few questioned these practices, and the operation of business ethics consisted mainly of protecting owners' interests.

1b. The Industrial Revolution

During the Industrial Revolution and the postindustrial era, in the nineteenth and early twentieth centuries, business focused on the pursuit of wealth, the expansion of overseas markets, and the accumulation of capital. These efforts were spurred by developments in technology, which allowed for rapid manufacturing and transportation of products. The goal was to earn as high a profit as possible for shareholders, with little concern for other stakeholders, such as the workers in the factories, who worked dangerous jobs with no security, or the people in the community, who were exposed to the polluted air and water around the factories. Although these periods witnessed extraordinary developments in science, medicine, engineering, and technology, the state of business ethics was perhaps best described by critics like Ida Tarbell (1857–1944), who said of industrialist John D. Rockefeller (1839–1937), “Would you ask for scruples in an electric

dynamo?” (Scruples is another word for ethics; electric dynamo is a machine invented in the 1830s). In other words, Tarbell is saying that ethics aren’t expected from a machine, so why ask for ethics in business?

1c. Global Depression and War

The excesses of the Industrial Revolution precipitated a global depression which was exacerbated by drought; this was followed by World War II. The war itself led to radical political changes in the world as empires fell and new global economic powers arose. While the depression era represented stagnation in industry and progress, World War II spurred a new economic boom at the terrible cost of tens of millions of lives around the globe.

1d. The Information Age

The Information Age emerged from the technological innovations of the industrial age and led to a seismic shift in global economies from industry to information, with media companies becoming some of the largest and most powerful companies in the world. Mass media also radically changed human culture, creating the “global village” first named by Canadian philosopher Marshall McLuhan. As people became able to witness events around the world, they became more interested in and invested in one another. This led to more awareness and concern of how business was conducted in other countries, for example. From the nickel novels to the Horatio Alger success stories, from the introduction of radio and *Hear It Now* to television and *See It Now*, to public libraries across the nation and the investment in public schools, the democratization of information follows the Information Age as information became increasingly available, even as literacy rates increased.



DID YOU KNOW

Horatio Alger, Jr. was one of the most successful American authors of the 19th century. Over one hundred books, starting with *Ragged Dick* in 1868, showed the exploits of working youth—then common—as they tried to work their way up from poverty. Alger, a former minister, stressed the importance of ethical behavior as much as hard work as the keys to success.

1e. Economic Globalization

Economic globalization can be seen as an extension of the Information Age, as telecommunications and digital technologies enabled rapid international communication and transactions. But while the Information Age is epitomized by media empires, the digital age democratized information. Suddenly anybody with a keyboard or cell phone could be a pundit or a content creator—with monetization and revenue. Previously marginalized voices like people of color and queer and trans people could be heard without passing the traditional “gatekeepers.” Women could tell their stories about harassment at work. Individual voices could challenge the status quo, and media was no longer solely in the hands of a few owners.

Similarly, in the past, ethical or normative rules were imposed from above to lead people toward right behavior, as the company defined it. Now, however, more emphasis is placed on each person at a firm embracing ethical standards and following those dictates to arrive at the appropriate behavior, whether at work or when off the clock. The creation of human resources departments (increasingly now designated as human capital or human assets departments) is an outgrowth of this philosophy, because it reflects a view that humans have a unique value that ought not be reduced simply to the notion that they are instruments to be manipulated for the purposes of the organization.

Millennia earlier, Aristotle referred to “living tools” in a similar but critical way. Although one characteristic of the Information Age—access to information on an unprecedented scale—has transformed business and society (and some say made it more egalitarian), one must ask whether it also contributes to human

flourishing, and to what extent business should concern itself with this goal.

Some economists believe there may even be a post-globalization phase arising from populist movements throughout the world (like Brexit, the 2020 vote by Great Britain to leave the European Union) that question the benefits of free trade and call for protective measures, like import barriers and export subsidies, to reassert national sovereignty. In some ways, these protectionist reactions represent a return to the theories and policies that were popular in the age of mercantilism. From bans on exporting PPE (personal protection equipment) during the pandemic to conflicts over energy resources as some regions experience the coldest winters on record, countries have increasingly focused on national needs vs. global needs, leading to supply chain breakdowns.



Thus, it's important to acknowledge that different eras upheld different ethical standards, and that each of these standards has had an impact on one's understanding of ethics today. But this realization raises some basic questions. First, what should modern people discard and what should they keep from the past? Second, on what basis should they make this decision? Third, is history cumulative, progressing onward and upward through time, or does it unfold in different and more complicated ways, sometimes circling back upon itself?



TERMS TO KNOW

Capitalism

The theory and practice of generating wealth through industry and innovation. Unlike mercantilism, capitalism views wealth as growable.

Mercantilism

The theory and practice of generating wealth through trade; relies on the theory that global wealth is static and, therefore, prosperity depends on extracting wealth or accumulating it from others.

2. Fashion: A Case Study

One industry that illustrates the interaction of culture, business, and ethics is fashion. Clothing reflects people's view of themselves, their world, and their values. Clothing is also one of the oldest mercantile trades and one of the first major industries of the industrial age. Each era brought trends that were indicative of the era, both reflecting the ethics of the time and even business ethics itself.

Mercantile Era

One of the reigning fashion trends of the era was the top hat, a symbol of the mercantile class and wealth. The top hat was itself a product of international trade, depending on materials like beaver fur from the Americas or silk from Asia, while the hats themselves were made by European craftsmen. In the same era, corsets were popular for women, which exemplified the way women were expected to behave: modest with a lack of freedom. The hoop skirt was the feminine form of the top hat, an

	ostentatious visual representation of success. Corsets and hoop skirts were also dependent on the new international trade routes, with whale bones being the preferred material for the stays in corsets and hoops in skirts. At the time, most people did not think about environmentalism or animal rights.
The Industrial Revolution	As corsets and hoop skirts went by the wayside, feminine fashion became more liberatory. Bloomers, wide feminine pants named for early feminist activist Amelia Bloomer, symbolized the new liberties women began to enjoy in the era; these afforded more freedom of movement than the corsets and skirts of the previous era. The Gilded Age also brought new ways to flout wealth. Women might wear a fox stole with its head and feet intact. In Italy, young men would strut in circles around the plaza while women and their families would visit the plaza to see the men's fashion. The emphasis on color, cut, and design was heightened to differentiate the young men from each other, and to enhance their attractiveness while clearly signaling their status, heritage and wealth.
Depression and War	After the end of the First World War in 1918, clothing reflected the values and changes of the time—a more modest lifestyle. Women opted for less formality and more simplicity. The 19th Amendment gave women the right to vote, and this newfound freedom was enjoyed with skirts that barely touched their knees, which was scandalous at the time (Pruitt, 2021; Thomas, 2021). After the crash of the stock market in 1929 began the Great Depression, fashion became more understated, reflecting difficult financial times. When the Second World War began in 1939, raw materials such as silk were no longer available, or became very expensive, hence fashion was simplified. Because of this, fashion became “making do” and creative people of the time fashioned dresses out of items like curtains and other fabrics they had laying around the house. Also, many women went to work during this time because the men were at war, which created a need for more practical garments for factory work.
The Information Age	Enter the 1950s. With a booming economy and no more rations, large, full skirts, pleats, petticoats and extensive use of fabric came back in fashion. Advertising took a role during this time period as well, with campaigns that either directly or subtly stated conformity was a way to find a husband (People History, n.d.). Given the loss of so many men during the war, this was an important value of women which was dictated by society. The social change of the 1960's and the values of that time are reflected in fashion as well. Clothing became more casual as the role of men and racial equity were challenged. Miniskirts and the “hippie” aesthetic touting bright colors signifies these changes in values. By the end of the 20th century, hats and furs of previous generations would seem hopelessly out of date, if not an outright fashion faux pas. In the late 20th century, designer shoes and specialty denim jeans that feature prominent, recognizable logos might be the modern version of those trends. People were still displaying their heritage and wealth—or the illusion of it—to appear attractive. At work, the formal suit and tie, the de facto uniform of the ownership class, declined from the 1960s until the present. The tie itself, traditionally an affectation of the

	privileged landowner, has been abandoned for a simple polo collar, button-down casual shirt, or even jeans and a hoodie. Status is no longer associated exclusively with the traditional business suit. In fact, casual wear spoke to the freedom of people who could wear what they wanted at work. This trend began in the mid 1980's, when "casual Fridays" were popularized (CBC, 2020), and Silicon Valley popularized ditching the suit and tie for khakis and a collared shirt, which has morphed into even more casual clothing, like jeans and the hoodie (Clemente, 2017). The rationale was the tech industry wasn't interested in adhering to traditional norms, and instead focused on celebration of breaking the traditional rules—another perfect example of how values of the time impact the clothing worn.
Era of Economic Globalization	Fashion today reflects body acceptance, in some cases by showing a larger variety of diverse people in different shapes and sizes. Consumers are also rejecting the notion of "fast fashion." Fast fashion is defined as cheap, trendy clothing that is similar to what is seen on the runway. However, the downside and ethical implications to fast fashion are many. First, since the price is cheap, the quality is often low, which results in a "throwaway" society. The clothing industry churns out 80 billion garments a year, many of which end up in landfills. The wages for people making these products are often low, and working conditions may be poor (Young, 2022). Because of this, many consumers focus on purchasing eco-conscious clothing (such as recycled clothing). People are also interested in where and how their clothing is made, to ensure they are not produced in low-wage, forced-labor, and unsafe conditions. This speaks to the fashion trend of focusing not only on profits, but on people and the planet as well.



SUMMARY

In this lesson, you learned at how values change across **major historical eras**, from the **age of mercantilism** through the **Industrial Revolution** and **global depression and World War II**, leading to the **Information Age** and **economic globalization**.

As an example of the interchange between culture, business, and ethics, you looked at the **case study of fashion**. You learned that what you wear can sometimes reflect values, status, and wealth, but that customs themselves are increasingly blurring the lines between traditional or formal and casual or informal.

Just like the choice to not wear fur reflects a value statement about animal cruelty, so do your purchase decisions in many other ways. From what you drive to where and how you live, your actions have consequences well beyond yourself. You need to assess your actions and decisions with a critical eye, and be open to debate, discussion, and diverse points of view.

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DATES TO KNOW

1500–1800

The Age of Mercantilism

1760–1920s

The Industrial Revolution

1920s–1950s

Global Depression and War

1950s–1990s

The Information Age

1990–Present

Economic Globalization

